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Filers of comments containing business confidential information also must submit a public version of their comments. The file name of the public version should begin with the character “P”. The non-business confidential version will be placed in the docket at www.regulations.gov and be available for public inspection.

As noted, USTR strongly urges submitters to file comments through www.regulations.gov. You must make any alternative arrangements in advance of the relevant deadline and before transmitting a comment by contacting USTR at Special301@ustr.eop.gov.

We will post comments in the docket for public inspection, except business confidential information. You can view comments on the <https://www.regulations.gov> website by entering docket number USTR–2018–0027 in the search field on the home page.

Daniel Lee,

Assistant U.S. Trade Representative for Innovation and Intellectual Property (Acting), Office of the United States Trade Representative.

[FR Doc. 2018–17649 Filed 8–15–18; 8:45 am]

BILLING CODE 3290–F8–P

OFFICE OF THE UNITED STATES TRADE REPRESENTATIVE

Notice of Action Pursuant to Section 301: China’s Acts, Policies, and Practices Related to Technology Transfer, Intellectual Property, and Innovation

AGENCY: Office of the United States Trade Representative.

ACTION: Notice.

SUMMARY: The U.S. Trade Representative (Trade Representative) has determined that appropriate action in this investigation includes the imposition of an additional *ad valorem* duty of 25 percent on products from China classified in the subheadings of the Harmonized Tariff Schedule of the United States (HTSUS) set out in Annex A of this notice. The Trade Representative has further determined to establish a process by which U.S. stakeholders may request that particular products classified within a covered tariff subheading in Annex A be excluded from these additional duties.

DATES: The additional duties set out in Annex A to this notice are effective with respect to products that are entered for consumption, or withdrawn from

warehouse for consumption, on or after August 23, 2018.

FOR FURTHER INFORMATION CONTACT: For questions about this action, contact Assistant General Counsel Arthur Tsao or Director of Industrial Goods Justin Hoffmann at (202) 395–5725. For questions on customs classification or implementation of additional duties on products identified in Annex A to this Notice, contact Traderemedy@cbp.dhs.gov.

SUPPLEMENTARY INFORMATION:

A. Proceedings in the Investigation

On August 18, 2017, the Office of the U.S. Trade Representative (USTR) initiated an investigation into certain acts, policies, and practices of the Government of China related to technology transfer, intellectual property, and innovation (82 FR 40213).

In a notice published on April 6, 2018 (83 FR 14906), the Trade Representative announced a determination that the acts, policies, and practices of the Government of China covered in the investigation are unreasonable or discriminatory and burden or restrict U.S. commerce. The April 6 notice also invited public comment on a proposed action in the investigation, in the form of an additional 25 percent *ad valorem* duty on products from China classified in a list of 1,333 tariff subheadings, with an annual trade value of approximately \$50 billion. As explained in that notice, the level was appropriate both in light of the estimated harm to the U.S. economy, and to obtain elimination of China’s harmful acts, policies, and practices.

The public comment process included two opportunities for the submission of written comments, and the opportunity to participate in a public hearing. USTR received thousands of submissions, and held a 3-day public hearing with more than 100 witnesses. The public versions of submissions and a transcript of the hearing are available on www.regulations.gov in docket number USTR–2018–0005.

USTR and the interagency Section 301 Committee carefully reviewed the public comments and the testimony from the public hearing. USTR and the Section 301 Committee also carefully reviewed the extent to which the tariff subheadings in the April 6 notice include products containing industrially significant technology, including technologies and products related to China’s “Made in China 2025” industrial policy program.

Based on this review process, the Trade Representative determined to take an initial action in the investigation,

and to consider an additional proposed action. The Trade Representative announced the determination on June 15, 2018, and published a notice on June 20, 2018 (83 FR 28710). The Trade Representative narrowed the proposed list in the April 6 notice to 818 tariff subheadings, with an approximate annual trade value of \$34 billion. This initial action became effective on July 6, 2018. The additional proposed action was an additional *ad valorem* duty of 25 percent on products of China classified in 284 tariff subheadings, with an annual trade value of approximately \$16 billion, as set forth in Annex C to the June 20 notice. The June 20 notice further explained that including these tariff subheadings in the Section 301 action would maintain the effectiveness of a \$50 billion trade action.

The June 20 notice invited public comment on the additional proposed action. USTR requested that commenters address specifically whether imposing increased duties on a particular listed subheading would be practicable or effective to obtain the elimination of China’s acts, policies, and practices, and whether maintaining or imposing additional duties on a particular listed product would cause disproportionate economic harm to U.S. interests, including small or medium-sized businesses and consumers.

In response to the notice of additional proposed action, interested persons filed over 700 written submissions. USTR and the Section 301 Committee held a 2-day public hearing on July 24–25, 2018. During the hearing, 82 witnesses provided testimony and responded to questions. Interested parties also had the opportunity to provide rebuttal submissions. The public submissions and a transcript of the hearing are available on www.regulations.gov in docket number USTR–2018–0018.

B. Determination on Appropriate Action

USTR and the Section 301 Committee have carefully reviewed the public comments and the testimony from the two-day public hearing. In addition, USTR and the interagency Section 301 Committee have carefully reviewed the extent to which the tariff subheadings in Annex C to the June 20 notice include products containing industrially significant technology, including technologies and products related to the “Made in China 2025” program. Based on this review process, the Trade Representative has determined to narrow the proposed tariff subheadings in Annex C to the June 20 notice to 279 tariff subheadings. The annual trade

additional duties apply to the value of the article less the cost or value of such products of the United States, as described in heading 9802.00.80.”

Products of China that are provided for in heading 9903.88.02 and classified in one of the subheadings enumerated in U.S. note 20(d) to subchapter III shall continue to be subject to antidumping, countervailing, or other duties, fees, exactions and charges that apply to such products, as well as to the additional 25 percent *ad valorem* rate of duty imposed by heading 9903.88.02.”

3. by inserting the following new U.S. note 20(d) to subchapter III of chapter 99 in numerical sequence:

“(d) Heading 9903.88.02 applies to all products of China that are classified in the following 8-digit subheadings:

2710.19.30	3904.50.00	3909.10.00	3917.40.00	3921.12.11
2710.19.35	3904.61.00	3909.20.00	3919.10.10	3921.12.15
2710.19.40	3904.69.10	3909.40.00	3919.10.20	3921.12.19
3403.19.10	3904.69.50	3909.50.10	3919.90.10	3921.12.50
3403.19.50	3904.90.10	3909.50.20	3919.90.50	3921.13.11
3403.99.00	3904.90.50	3909.50.50	3920.10.00	3921.13.15
3811.21.00	3905.12.00	3910.00.00	3920.20.00	3921.13.19
3811.29.00	3905.19.00	3911.10.00	3920.30.00	3921.13.50
3901.10.10	3905.21.00	3911.90.10	3920.43.10	3921.14.00
3901.10.50	3905.29.00	3911.90.15	3920.43.50	3921.19.00
3901.20.10	3905.30.00	3911.90.25	3920.49.00	3921.90.11
3901.20.50	3905.91.10	3911.90.35	3920.51.10	3921.90.15
3901.30.20	3905.91.50	3911.90.45	3920.51.50	3921.90.19
3901.30.60	3905.99.80	3911.90.70	3920.59.10	3921.90.21
3901.90.10	3906.10.00	3911.90.90	3920.59.40	3921.90.25
3901.90.55	3906.90.10	3912.12.00	3920.59.80	3921.90.29
3901.90.90	3906.90.20	3912.20.00	3920.61.00	3921.90.40
3902.10.00	3906.90.50	3912.39.00	3920.62.00	3921.90.50
3902.20.10	3907.10.00	3912.90.00	3920.63.10	7002.20.10
3902.20.50	3907.20.00	3913.90.10	3920.63.20	7308.10.00
3902.30.00	3907.30.00	3913.90.50	3920.69.00	7308.20.00
3902.90.00	3907.40.00	3914.00.20	3920.71.00	7308.90.30
3903.11.00	3907.50.00	3914.00.60	3920.73.00	7308.90.60
3903.19.00	3907.61.00	3916.10.00	3920.79.05	7308.90.70
3903.20.00	3907.69.00	3916.20.00	3920.79.10	7308.90.95
3903.30.00	3907.70.00	3916.90.10	3920.79.50	7614.10.10
3903.90.10	3907.91.20	3916.90.30	3920.91.00	7614.90.20
3903.90.50	3907.91.40	3916.90.50	3920.92.00	8406.82.10
3904.10.00	3907.91.50	3917.21.00	3920.93.00	8407.34.05
3904.21.00	3907.99.20	3917.22.00	3920.94.00	8407.34.35
3904.22.00	3907.99.50	3917.23.00	3920.99.10	8407.90.10
3904.30.20	3908.10.00	3917.29.00	3920.99.20	8407.90.90
3904.30.60	3908.90.20	3917.31.00	3920.99.50	8408.20.10
3904.40.00	3908.90.70	3917.32.00	3921.11.00	8419.60.10

8419.89.10	8541.10.00	9025.19.40
8419.89.95	8541.40.60	9025.19.80
8420.10.20	8542.31.00	9025.80.10
8420.99.10	8542.32.00	9027.10.20
8424.82.00	8542.33.00	9028.10.00
8424.89.90	8542.39.00	9028.20.00
8432.29.00	8542.90.00	9028.30.00
8432.31.00	8543.70.45	9029.20.40
8432.39.00	8543.70.99	9029.90.80
8432.42.00	8544.49.10	9030.31.00
8443.99.40	8544.49.20	9030.32.00
8455.90.40	8544.60.60	9030.84.00
8464.10.01	8601.20.00	9030.89.01"
8465.95.00	8602.10.00	
8466.30.80	8605.00.00	
8473.50.60	8606.10.00	
8473.50.90	8606.30.00	
8475.29.00	8606.91.00	
8483.30.80	8606.92.00	
8486.10.00	8606.99.01	
8486.20.00	8607.11.00	
8486.30.00	8607.19.03	
8486.40.00	8607.19.30	
8486.90.00	8607.30.10	
8501.10.20	8607.30.50	
8501.10.60	8701.20.00	
8501.20.40	8701.30.50	
8501.31.40	8701.91.10	
8501.31.80	8701.91.50	
8501.32.20	8701.92.10	
8501.32.60	8701.92.50	
8501.33.20	8701.93.10	
8501.33.30	8701.93.50	
8501.52.40	8701.94.10	
8501.53.60	8701.94.50	
8503.00.95	8701.95.10	
8507.80.40	8701.95.50	
8507.80.81	8704.90.00	
8511.80.20	8705.10.00	
8511.80.40	8705.20.00	
8511.90.20	8705.90.00	
8511.90.40	8711.10.00	
8529.10.91	8711.60.00	
8533.90.40	8711.90.01	
8536.30.80	8901.30.00	
8536.50.70	9001.10.00	
8536.70.00	9001.20.00	
8537.10.30	9014.10.90	

ANNEX B

Note: All products that are classified in the 8-digit headings of the Harmonized Tariff Schedule of the United States (HTS) that are listed in this Annex are covered by the action. The product descriptions that are contained in this Annex are provided for informational purposes only, and are not intended to delimit in any way the scope of the action. In all cases, the formal language in Annex A governs the tariff treatment of products covered by the action. Any questions regarding the scope of particular HTS subheadings should be referred to U.S. Customs and Border Protection. In the product descriptions, the abbreviation "nesoi" means "not elsewhere specified or included".

HTS Subheading	Product Description
2710.19.30	Lubricating oils, w/or w/o additives, fr. petro oils and bitumin minerals (o/than crude) or preps. 70%+ by wt. fr. petro oils
2710.19.35	Lubricating greases from petro oil/bitum min/70%+ by wt. fr. petro. oils but n/o 10% by wt. of fatty acid salts animal/vegetable origin
2710.19.40	Lubricating greases from petro oil/bitum min/70%+ by wt. fr. petro. oils > 10% by wt. of fatty acid salts animal/vegetable origin
3403.19.10	Lubricating preparations containing 50% but less than 70% by weight of petroleum oils or of oils obtained from bituminous minerals
3403.19.50	Lubricating preparations containing less than 50% by weight of petroleum oils or of oils from bituminous minerals
3403.99.00	Lubricating preparations (incl. lubricant-based preparations), nesoi
3811.21.00	Additives for lubricating oils containing petroleum oils or oils obtained from bituminous minerals
3811.29.00	Additives for lubricating oils, nesoi
3901.10.10	Polyethylene having a specific gravity of less than 0.94 and having a relative viscosity of 1.44 or more, in primary forms
3901.10.50	Polyethylene having a specific gravity of less than 0.94, in primary forms, nesoi
3901.20.10	Polyethylene having a specific gravity of 0.94 or more and having a relative viscosity of 1.44 or more, in primary forms
3901.20.50	Polyethylene having a specific gravity of 0.94 or more, in primary forms, nesoi
3901.30.20	Ethylene copolymer: Vinyl acetate-vinyl chloride-ethylene terpoly w/ < 50% deriv of vinyl acetate, exc polymer aromatic/mod arom monomers
3901.30.60	Ethylene-vinyl acetate copolymers, nesoi
3901.90.10	Polymers of ethylene, nesoi, in primary forms, elastomeric
3901.90.55	Ethylene copolymers, in primary forms, other than elastomeric
3901.90.90	Polymers of ethylene, nesoi, in primary forms, other than elastomeric
3902.10.00	Polypropylene, in primary forms
3902.20.10	Polyisobutylene, elastomeric, in primary forms
3902.20.50	Polyisobutylene, other than elastomeric, in primary forms
3902.30.00	Propylene copolymers, in primary forms
3902.90.00	Polymers of propylene or of other olefins, nesoi, in primary forms
3903.11.00	Polystyrene, expandable, in primary forms
3903.19.00	Polystyrene, other than expandable, in primary forms
3903.20.00	Styrene-acrylonitrile (SAN) copolymers, in primary forms
3903.30.00	Acrylonitrile-butadiene-styrene (ABS) copolymers, in primary forms